

FDA Phase 3 approval for a miracle drug with a billion-dollar market price is rumored. And everyone's favorite fish tale: An imminent takeover announcement.

People often find these narratives irresistible as the basis for making investment decisions.

It is beside the point that these stories were wrong. As it turns out, it doesn't matter whether a story is true or false. Your natural tendency *wants* an emotionally satisfying story to support your investment thesis despite the many times the data told you something different.

People have been calling for a market crash every year since the GFC ended in March 2009. Cullen Roche of Pragmatic Capital describes perhaps the biggest narrative failure of the 2010s decade: *The Fear Trade*:

If you've been paying attention over the last few years, you probably remember how many people predicted hyperinflation, surging bond yields, soaring gold prices, a cratering U.S. dollar, and a collapsing stock market. This was the fear trade. You overweight gold, short U.S. government bonds, short the USD, short equities, and laugh all the way to the bank. On the whole, that trade has been a big disaster. In other words, fear lost out—again.^{[389](#)}

Time proved him right: None of those fearful things came to pass. Worse, anyone who succumbed to the fear trade missed a giant rally to all-time highs in the stock market. Crashes and sell-offs are painful short term, but over the long run, they are temporary. The mathematics of asset class mean reversion is inescapable: Stocks will eventually recover. Failing to participate in the generational bull market from 2009 to 2025 will set back your retirement by a decade or longer.

This is how the narrative fallacy does its worst.

It's clear when emotional storytelling gets in the way of intelligent investing. When strategists come up short in their forecasts, they offer a series of excuses for why. How many times have I witnessed an investor